The 3:30 Trade

Why the 3:30 Trade works:

- Low float stocks can have exponential moves and this trade works when longs are caught at the end of the day and have to cover their shorts
- This trade works when we see clean, sustained buying into the mid-day session
- We will look for a pullback in the afternoon that holds above the morning range and consolidates sideways
- As the end of the day approaches, we will look for shorts to cover as they are forced out and don't want to be short overnight

Entry Rules (inverted rules for the long side):

- Enter aggressively when the afternoon range breaks to the upside

Stop Loss Rules:

- The stop should be placed just below the support from the afternoon consolidation

Exit Rules:

- Look to exit into a blowoff move with high volume

Factors that increase the probability of this trade working:

- Decreasing volume on the afternoon pullback
- Brief break of support and quick reclaim

Factors that decrease the probability of this trade working:

- Choppy price action throughout the day
- A pullback with high volume

The ideal times of day to take this trade:

- Power hour (3:00 PM - 4:00 PM)

When do we avoid this trade entirely?:

- We will avoid this trade entirely if the stock is not able to hold above its opening range from the morning

MULN - 5 min
6.75
6.50
6.30
6.25
6.00
5.75
5.50
5.25
5.00
4.75
4.50
4.25
4.00
3.75
3.50
3.25
VOLUME
4.00m
3.00m
2.00m
1000k
9:30
10:00
10:30
11:00
11:30
12:00
12:30
13:00
13:30
14:00
14:30
15:00
15:30
16:00
16:30
17:00